STARDOM Ventures

Q4 2022 REVIEW

STARDOM VENTURES

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SUMMARY

- **2022 Highlights:**
  - 4 new investments with a total amount of $7.5M
  - 7 follow-ons investments in the amount of $7.9M
  - Fair market value: $48M
  - Gross Multiple: 1.5x

- **New investments in 2022:**
  - Treat: Treat gives pet lovers the option to co-own & treat a real dog or cat in a gamified experience that mixes gaming with real-life activism – we invested $2M at $7M pre-valuation (21%)
  - Botika: a motion transfer system able to convert any image of a person into a 3D avatar in real-time – we invested $2M as a SAFE with a Cap of $17M and a 20% discount
  - Tedooo: The first B2B social platform customized for the trade world- we invested $2M at $7.5M pre-valuation (19%)
  - Astrid- Astrid wishes to invent the next generation of games - a shared & evolving world that invites players to create their own stories– we invested $1.5M as a SAFE with a Cap of $15M and a 20% discount

- **Follow-On Investments in 2022:**
  - Deepdub- $896K at a $60M pre-money valuation
  - Flying pigs- $452K at a $20M pre-money valuation
  - BrandTotal: $600K as a SAFE with a Cap of $6M and a 20% discount
  - Maapilim- $750K $at a $15.8M pre money valuation
  - Edge Gaming- $4.1M at a $75M pre-money valuation
  - NYK. - $500K at a $13M pre-money valuation
  - Syte- $565K as a SAFE with a Cap of $55M and a 20% discount

- **New investments in 2023:**
  - PeerPlay- PeerPlay Create and build brilliantly designed and masterfully executed mass-market, category leading games that captivate and monetize players for years we invested $1M as a SAFE with a Cap of $8M and a 15% discount

- **Follow-On investments in 2023:**
  - Humanz- $1.5M at a $40M pre-money valuation

OUR VIEW OF THE MARKET

The Markets:
The beginning of 2023 was optimistic for the tech sector, with many of the stocks that dived in 2022 are recovering due to better than expected financial results as well as a general trend of belief that the market starting to recover. The Nasdaq Index as an example, is up in more than 13% since January 1st 2023.

There is still no certainty that we're past the current situation, as there are still no IPOs in the horizon, although EY predicts that we will start seeing new IPOs in the second half of 2023.

This optimism is very much required to encourage later stage funds to invest in early-stage startups and until we do not see this flywheel start rolling again, it will be very difficult for startups at more mature stages to raise funds.

Media Sector:
The buzz around generative AI is immense, and probably can be compared only to the introduction of the iPhone. Microsoft announced its integration of ChatGPT to its Bing search engine, followed by the introduction of Bard, the AI Chatbot from Google. Generative-AI will change the way we produce and consume media in various aspects and will change the media landscape forever. We will see more vertical services that are relying on AI to provide a real-time, tailored solutions for specific content needs, such as: marketing, business, publishing etc.

Startup Landscape:
More and more startups in the current environment are performing down rounds in order to extend their runway until growth funds will return to invest. Valuations are back to under $10M for Seed rounds which is also an indication of a lack of enthusiasm from VCs to invest.

Our Portfolio:
As we communicated in the previous quarter, we focus on assisting our portfolio companies to secure their runway for 2023 either by reducing costs or through different mechanisms of financing – rounds, shareholders loans or external loans.

SILICON VALLEY BANK (SVB)

On March 10, Silicon Valley Bank, one of the most prominent lenders in the start-up ecosystem, collapsed. The turmoil has led to the seizure of Silicon Valley Bank and Signature Bank, the private-sector bailout of the U.S. regional lender First Republic Bank and the takeover of the troubled Swiss bank Credit Suisse by its rival, UBS.

Many of our portfolio companies have a bank account at SVB as it is one of the simplest ways to have a US bank account, which is a necessity when working with US customers. We received information regarding a potential risk on March 9, we immediately informed all our portfolio companies about the risk involved. Most of the companies withdrawn most of their deposits and have no risk.
We have two companies, Syte and Maapilim that were also using a credit line from SVB of $3M and $1M in accordance, and we are now working on alternative solutions.

In addition, we are following the updates regarding the state of the banking system. The latest interest hike by the Fed will put more banks under pressure and we are evaluating various options to work with bigger US banks.

FINANCIALS

As of December 31, 2022

PORTFOLIO STATS

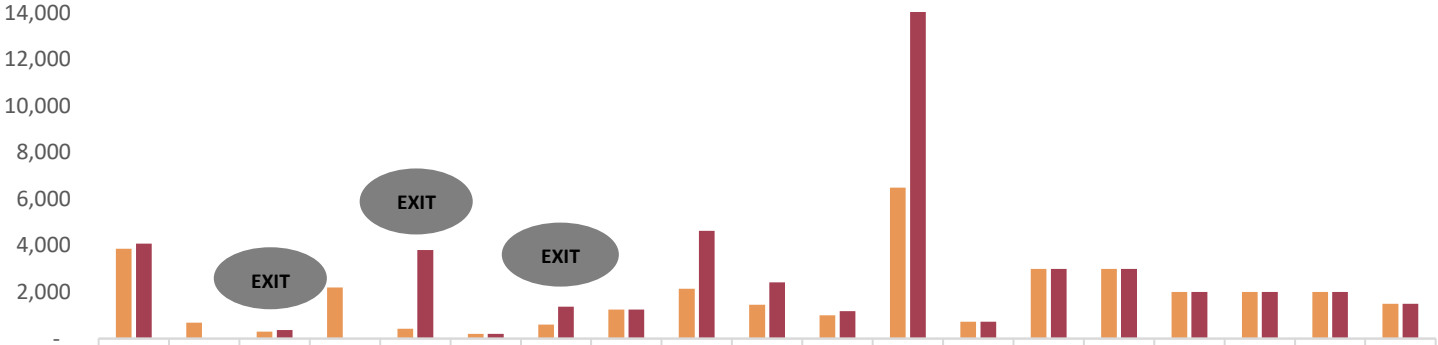
(In US thousands)

Fair market value	48,004	Number of First checks	19
Cost of portfolio companies	34,836	Avg amount of First checks	1,062
Gross Multiple (*)	1.5x	Number of Follow-ons	20
Number of exits	3	Avg amount of Follow-ons	733

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

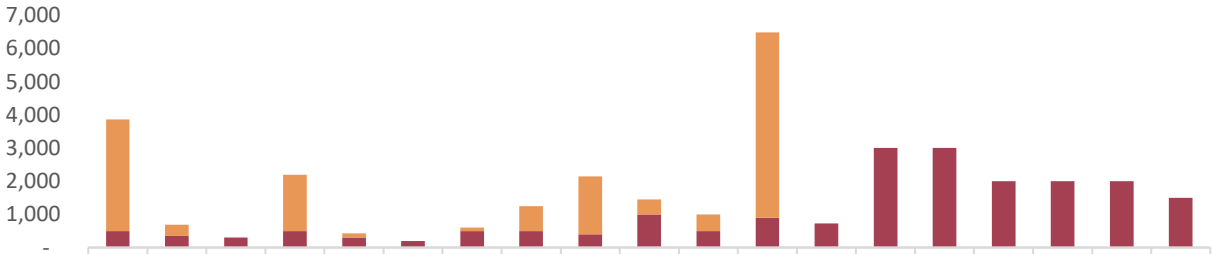
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid
FMV	4,081	-	375	-	3,800	200	1,370	1,250	4,629	2,414	1,186	14,475	724	3,000	3,000	2,000	2,000	2,000	1,500
Cost	3,864	690	300	2,197	425	200	600	1,250	2,146	1,453	1,000	6,487	724	3,000	3,000	2,000	2,000	2,000	1,500
Holding %	6.2%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	6.2%	5.8%	9.7%	7.7%	13.8%	7.8%	15%	18.8%	21.1%	SAFE	19%	SAFE
Multiple X	1.1	-	1.3	-	8.9	1	2.3	1	2.2	1.7	1.2	2.2	1	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid
Follow-on Investments	3,364	340	-	1,697	125	-	100	750	1,746	453	500	5,587	-	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: In October 2022, the company raised from the current shareholders $10.5M as a SAFE with a Cap of $55M and a 20% discount and a 2.5X participant preference. We invested $565K.

BRANDTOTAL

ABOUT: BrandTotal uncovers and analyzes competitors' "dark" marketing efforts, illuminating their strategies and tactics by applying advanced cyber security techniques and artificial intelligence.

UPDATE: The company seized its operations. As we already erased it from our books, there are no further consequences to Stardom.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and looking for new verticals to penetrate in order to boost performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: In the first quarter of 2022, the company signed an agreement with the A-listed Hollywood star Jared Leto to serve as the company's face. The launch was not successful as predicted and we are currently evaluating our next steps in the company, and all options are on the table – selling the company, investing additional amount to support it in the near term or liquidate.

In April 2022, the company raised from the current investors $4.5 million in Series A funding.

Round A: $750K at $15.8M pre-valuation (6.16%)

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: In February 2022, the company raised $5 million in Seed funding led by New York-based global venture capital and private equity firm Insight Partners.

Seed Round: $452K at $20M pre-valuation (9.7%)

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: In January 2022, the company raised $20 million in Series A funding led by New York-based global venture capital and private equity firm Insight Partners.

Series A Round: $895K at $60M pre-valuation (5.8%)

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: In November 2022, the company raised $2.5 million in Seed-1 funding.

Seed-1 Round: $500K at $13M pre-valuation (7.7%)

PORTFOLIO UPDATE (cont.)

NLIGHT

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

LUDEO (FORMERLY EDGE GAMING)

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: The company is doing very well in attracting new gamers to its platform and currently having over 200,000 games played in day.

In June 2022, the company raised $30 million in Series A funding led by Corner Ventures.

Series A Round: $4.13M at $75M pre-valuation (13.79%)

HUMANZ

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

In February 2023, the company raised $10 million in Series A.

Series A Round: $1.5M at $40M pre-valuation (13.7%)

MUUULA

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: First game "Memory Pirates" has already been tested by more than 25K players worldwide and will be ready for production by the end of 2023.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

Seed Round: $2M at $7M pre-valuation (21%)

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: As part of the momentum change in the market, and the unclear path to revenues, the company is now evaluating new directions in which it can generate substantial revenues as well as raise additional funding. The goal is to find a profitable B2B use case for the exact same avatar technology that the company has developed over the last year.

Our investment: $2M as a SAFE with a Cap of $17M and a 20% discount

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

Seed Round: $2M at $7.5M pre-valuation (19%)

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: a gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

Our Investment: $1.5M as a SAFE with a Cap of $15M and a 20% discount (Additional investors include NetEase, China's second biggest gaming company)

PEERPLAY

ABOUT: a gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

Our Investment: $1M as a SAFE with a Cap of $8M and a 15% discount.